

“Economists”: What I mean by “economists” are most members of the mainstream, neoclassical economics and finance establishment in universities—not fringe groups such as the Austrian or the Post-Keynesian schools.

Small numbers: Tversky and Kahneman (1971), Rabin (2000).

Domain specificity: Williams and Connolly (2006). We can see it in the usually overinterpreted Wason Selection Test: Wason (1960, 1968). See also Shaklee and Fischhoff (1982), Barron Beaty, and Hershley (1988). Kahneman’s “They knew better” in Gilovich et al. (2002).

Updike: The blurb is from Jaynes (1976).

Brain hemispheric specialization: Gazzaniga and LeDoux (1978), Gazzaniga et al. (2005). Furthermore, Wolford, Miller, and Gazzaniga (2000) show probability matching by the left brain. When you supply the right brain with, say, a lever that produces desirable goods 60% of the time, and another lever 40%, the right brain will correctly push the first lever as the optimal policy. If, on the other hand, you supply the left brain with the same options, it will push the first lever 60 percent of the time and the other one 40—it will refuse to accept randomness. Goldberg (2005) argues that the specialty is along different lines: left-brain damage does not bear severe effects in children, unlike right-brain lesions, while this is the reverse for the elderly. I thank Elkhonon Goldberg for referring me to Snyder’s work; Snyder (2001). The experiment is from Snyder et al. (2003).

Sock selection and retrofit explanation: The experiment of the socks is presented in Carter (1999); the original paper appears to be Nisbett and Wilson (1977). See also Montier (2007).

Astebro: Astebro (2003). See “Searching for the Invisible Man,” *The Economist*, March 9, 2006. To see how the overconfidence of entrepreneurs can explain the high failure rate, see Camerer (1995).

Dopamine: Brugger and Graves (1997), among many other papers. See also Mohr et al. (2003) on dopamine asymmetry.

Entropy and information: I am purposely avoiding the notion of entropy because the way it is conventionally phrased makes it ill-adapted to the type of randomness we experience in real life. Tsallis entropy works better with fat tails.